

Consider This: Weaponising supply chain finance

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Preview

This is one of five papers from the full report?Consider This: The weaponisation of supply chains?exploring how key supply chains are evolving ? and what it means for long-term investment strategy.

Supply chains aren't just about goods and logistics ? they're also about money. And the financial systems that support trade are starting to shift. In this paper, we explore how finance is becoming a strategic tool. While the US dollar remains the world's reserve currency, new players are emerging ? and that could have long-term implications for global capital flows.

For investors, this isn't just a currency story. It's about understanding how financial power is evolving ? and what that means for exposure, resilience, and risk.

Investment takeaway

In a ?multipolar? world, there is a generalised move away from using the US dollar as the dominant currency for trade finance. Since increasing volumes of trade are likely to be completed between countries of the ?Global South? who tend to do a lot of government-to-government deals, it seems logical to expect increasing use of CBDCs, rather than traditional currencies.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries. There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Hong Kong and Taiwan could be adversely affected by its political and economic relationship with China.

An investment in private securities (such as private equity or private credit) or vehicles which invest in them, should be viewed as illiquid and may require a long-term commitment with no certainty of return. The value of and return on such investments will vary due to, among other things, changes in market rates of interest, general economic conditions, economic conditions in particular industries, the condition of financial markets and the financial condition of the issuers of the investments. There also can be no assurance that companies will list their securities on a securities exchange, as such, the lack of an established, liquid secondary market for some investments may have an adverse effect on the market value of those investments and on an investor's ability to dispose of them at a favorable time or price.

Investment strategies that incorporate the identification of thematic investment opportunities, and their performance, may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner. Focusing investments in the information technology- and/or technology-related industries carries much greater risks of adverse developments and price movements in such industries than a strategy that invests in a wider variety of industries.

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